

government had introduced several schemes, including PLI, to boost domestic manufacturing. “In a step towards *AatmaNirbharta* (self-reliance), the government is focussing on production of high-value pharmaceuticals and high-end medical devices,” Union Health Minister Mansukh Mandaviya tells *Business Today*.

While the PLI scheme for manufacturing drugs and APIs has managed to draw good investments, schemes aimed at promoting production of high-end medical devices and bulk drug parks have received lukewarm response. “The current PLI scheme has an outlay of around \$1 billion. While promising, there has been a low to moderate response [to the scheme], with only a few companies in the top and bottom tiers participating. It is important to drive investments from the middle market,” says Suresh Subramanian, National Life Sciences Leader, EY India.

Let us take a closer look.

PLI FOR DRUG MANUFACTURING AND APIs

In March 2020, India launched the PLI 1.0 scheme to promote domestic manufacturing of critical key starting materials (KSMs, raw material to make APIs), drug intermediates and APIs in the country. “The PLI scheme aims to reduce India’s import dependence on other countries, through indigenous production, by attracting large investments in the sector ensuring their sustainable domestic supply,” says Mandaviya.

So far, the scheme has attracted investments of ₹16,199 crore from 55 selected applicants, including 20 MSMEs, against a target of ₹17,425 crore. Under this scheme, the government has identified 41 products to provide incentives to for six years. For instance, products based on fermentation (a process for cultivating microorganisms to make antibiotics, insulin, enzymes and therapeutic proteins, etc.) will get incentives amounting to 20 per cent for FY24-27; 15 per cent for FY28; and 5 per cent for FY29. Products based on chemical synthesis (these are antibacterial substances such as organoarsenicals and sulfa drugs, penicillin, streptomycin, tetracycline and erythromycin) will receive 10

per cent as incentive for FY23-28.

To bolster its move, just nine months after the launch of PLI 1.0, the government approved another scheme (PLI 2.0) for the pharma sector with an outlay of ₹15,000 crore. In order to ensure wider applicability, PLI 2.0 divides pharma firms into three distinct categories based on their global manufacturing revenue (GMR) in FY20: Category 1 for those with GMR of above ₹5,000 crore; Category 2, with GMR of ₹500-5,000 crore; and Category 3 with GMR of less than ₹500 crore, with incentives ranging from 5-10 per cent for a period of six years. The scheme includes APIs from FY21 to FY29.

These incentives, industry experts believe, are too little for smaller players to take the plunge, because of the high investments. “The scheme was launched only to leverage the bigger pharma companies to bring investments into India, in the same way they were doing in other countries,” says Daara B. Patel, Secretary-General of the Indian Drug Manufacturers’ Association (IDMA). Agrees Harish Jain, Senior Vice President of the Federation of Pharma Entrepreneurs and a member of the Pharmaceuticals Export Promotion Council of India: “Over 71 per cent of benefits of the PLI scheme have gone to the top companies, but the MSMEs have barely received the benefits of around 11 per cent,” he says.

Pharma majors such as Sun Pharma, Aurobindo Pharma, Dr. Reddy’s, Lupin, Mylan Laboratories, Cadila Healthcare, Cipla and Glenmark—all of them with big API businesses—benefitted immensely from the scheme. Over the next five years, Indian API-producing firms are anticipated to grow at a CAGR of 9-11 per cent, according to Sushil Finance Group, a broking house.

The PLI scheme will further help in improving tech capabilities, capacity utilisation and competitiveness, Sun Pharma recently said. *BT*’s emailed questionnaire on PLI to the company remained unanswered at the time of going to press, as did queries emailed to Dr. Reddy’s, Aurobindo Pharma, Lupin and Cipla.

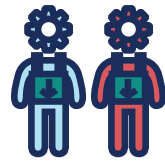
Meanwhile, Biocon’s subsidiary Syngene International has invested in an API plant in Mangaluru, Karnataka. Piramal Pharma is another firm that is building an

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◀ Depending on the capacity, a new plant can cost up to \$3-10 million to set up



◀ With 1,500 contract research and manufacturing services players, competition is intense in the undifferentiated market



◀ There are a limited number of skilled and trained workers in the industry